There are millions of own-account one person or household businesses in India. The surplus of such businesses (excess of income receipts over costs) will constitute labour income for such own account enterprises.

Second, income from profits. Profits are earned in businesses. Businesses (other than own-account enterprises noted above) can be of any form and scale: proprietary, partnership, companies, limited liability partnership or any other form. For non-corporate entities, the income from businesses—small or large—will equal the profits earned (after payment of salaries to non-owning labour of such firms). Salaries or any other payment made to owners which is in the nature of income to the individual concerned should also be treated as part of his income. The profits earned by corporate entities are either distributed or retained or partly retained and partly distributed. Profits distributed by such business entities and received by the individuals/households/income holding corporate entities (which have a business interest in such corporate entities) should be treated as profit income and taxed accordingly. The law can define what holding in a corporate entity can be considered as business interest.

Third, incomes resulting from assets/wealth. Interest earned on loans given, rent earned on land or house property leased or for that matter dividend earned on equity investments (other than those who have a business interest) will all come under this category.

Capital gains, whether realized or unrealized, are not necessarily an ‘income’ from wealth. There could be an element of inflation in capital gains. The realized capital gains and also unrealized capital appreciation should be treated as taxation of wealth, which we will discuss subsequently.

The Income Tax Act of India should therefore be reorganized to tax these three types of incomes.

The government should not have preference for any one type of income. All should be taxed at the same rate structure; the equity element taken care of by different tax rates for different scales or slabs of income. The